

COMPARISON OF MARKET STRUCTURES

Section A

Duration of each question is **40 mins**.

- 1 Evaluate, with the aid of a diagram(s), whether excess profit (supernormal profit) is always necessary for the continued existence of firms in perfect competition and monopoly. [20]

Section B

Answer **all** questions

Duration 1hr

1. How does monopolistic competition differ from perfect competition?
 - A Average revenue can be greater than average cost in the long run.
 - B Average revenue can be greater than average cost in the short run.
 - C Products are differentiated.
 - D There are barriers to entry.

2. What is most likely to be found when comparing the long-run equilibrium outcome in monopolistic competition with that in perfect competition?
 - A a greater degree of excess capacity in monopolistic competition
 - B a higher level of profit in monopolistic competition
 - C a larger number of firms in monopolistic competition
 - D a more price-elastic demand curve in monopolistic competition

3. Imperfect competition is distinguished from perfect competition in that, in long-run equilibrium,
 - A supply is elastic.
 - B demand is inelastic.
 - C marginal cost will be below average cost.
 - D average revenue will be below marginal revenue.

4. What makes it harder for a small firm to compete against large firms in the same industry?
 - A Copyrights on the product have expired.
 - B Customers want individual product designs.
 - C The cost of entering the industry is low.
 - D The industry's product is standardised.

5. What could be a reason for the existence of small firms in various industries?
- A a low minimum efficient scale of production
 - B greater scope for specialisation and division of labour
 - C the need to diversify in order to reduce risk
 - D the principal-agent problem
6. An industry consists of a dominant firm, which acts as a price leader, and a large number of small firms.
- Which statement about the profit-maximising output of the small firms is correct?
- A Average cost is equal to average revenue.
 - B Average cost is minimised.
 - C Marginal cost is equal to price.
 - D Marginal revenue is zero.

7. The table shows some of the assumptions of perfect competition and monopolistic competition.
- Which pairing is correct?

	perfect competition	monopolistic competition
A	identical products	freedom of entry and exit
B	barriers to entry	differentiated products
C	large number of firms	small number of firms
D	differentiated products	barriers to entry

8. In which market structure will the industry price be unaffected by a change in the output of one individual firm?
- A monopolistic competition
 - B monopoly
 - C oligopoly
 - D perfect competition

9. An imperfectly competitive firm was making supernormal profits. The following year it made normal profit with no change in output.

How could this situation be shown on a diagram for an imperfectly competitive firm?

- A by a movement to the left of the average revenue curve
 - B by a movement to the right of the marginal revenue curve
 - C by a shift to the right of the marginal cost curve
 - D by an upward shift in the average cost curve
10. A firm changes its objective from maximising profit to producing at the allocatively efficient output.

In which market structure must the firm operate for this to cause the **least** change in economic welfare?

- A monopolistic competition
- B monopoly
- C oligopoly
- D perfect competition

11. Firms X, Y and Z are profit maximising private firms.

X operates in a perfectly competitive industry, Y in a monopolistically competitive industry and Z is a single monopolist.

Which statement is correct?

- A Only X satisfies the condition for allocative efficiency.
- B Only X faces no barriers to entry in the long run.
- C Only Y and Z can make a supernormal profit in the long run.
- D Only Z has a product differentiation.

12. A Hawker Centre where there are many outdoor stalls is a popular and cheap place to eat in Singapore. They sell a large variety of food but many sell the same dishes cooked in different ways. The cost of setting up a stall is low and prices charged are very similar.

Of which market structure is this an example?

- A monopolistic competition
- B monopoly
- C oligopoly
- D perfect competition

13. The table shows four market structures.

Which characteristics could describe the market structure shown?

	market structure	barriers to entry	differentiated products
A	monopolistic competition	low	no
B	monopoly	high	yes
C	oligopoly	low	no
D	perfect competition	high	yes

14. In the long run, what is a feature of monopolistic competition, but **not** of perfect competition?

- A a small number of buyers
- B product differentiation
- C the existence of abnormal profits
- D the existence of barriers to entry

15. The market structure of an industry changed from being an oligopoly to monopolistic competition.

What is **most** likely to have increased?

- A an individual firm's ability to influence the market price
- B an individual firm's degree of interdependence in the market
- C the concentration ratio in the market
- D the number of firms in the market

16. The list provides characteristics of the market in which firm X operates.

- Firms in the market spend a lot of money on advertising.
- Firms in the market experience a high level of uncertainty.
- Start-up costs for new firms entering the market are relatively high.
- The largest five firms in the market control 85% of total sales.

In which market structure is firm X operating?

- A monopoly
- B monopolistic competition
- C oligopoly
- D perfect competition

17. In which type of market structure are commercial banks usually found?

- A perfect competition, because they all link their interest rates to that of the central bank
- B perfect competition, because they offer identical products and services
- C monopolistic competition, because a competitive market prevents them making excess profits
- D oligopoly, because they are affected by the actions of other banks

18. What is **most** likely to be found when comparing the long-run equilibrium outcome in monopolistic competition with that in perfect competition?

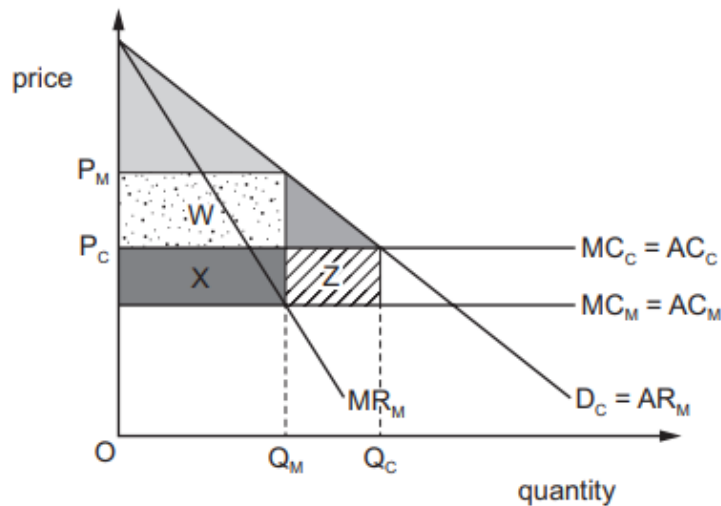
- A a greater degree of excess capacity in monopolistic competition
- B a higher level of profit in monopolistic competition
- C a larger number of firms in monopolistic competition
- D a more price-elastic demand curve in monopolistic competition

19. A government divides a nationalised rail service and sells it to five private companies. The largest of these companies dominates the four smaller companies.

How will these changes affect the market structure for rail services?

- A It will change from monopoly to monopolistic competition.
- B It will create an oligopoly with the possibility of price leadership.
- C It will encourage freedom of entry due to lower capital costs.
- D It will guarantee ticket prices based on average costs.

20. The diagram shows a competitive industry facing constant marginal and average costs. In equilibrium its output is OQ_C and its price is OP_C . A series of horizontal mergers generate economies of scale and create a monopoly in the industry. The new equilibrium output is OQ_M and price is OP_M .



Which area represents the producer surplus after these mergers?

- A** W **B** $W+X$ **C** $W+X-Z$ **D** X

21. The information gives the characteristics for a market structure.

- The two leading brands control 60% of the market.
- Other large firms and a few smaller firms exist in the market.
- Prices tend to be stable.
- There are significant barriers to entry.

Which market structure is this most likely to be?

- A** monopolistic competition
- B** monopoly
- C** oligopoly
- D** perfect competition

22. In large cities there are streets where many sellers of similar hot foods compete for sales.

Which type of market structure does this represent?

- A** monopoly
- B** monopolistic competition
- C** oligopoly
- D** perfect competition

23. A multinational firm seeks to minimise costs and maximise profits.

What would **least** assist the multinational to achieve these objectives?

- A** achieving a near monopoly status to control outputs and prices
- B** locating the firm's home base in a country with a low level of corporation tax
- C** operating as a member of a cartel with production quotas
- D** owning subsidiary firms in different countries to achieve economies of scale

24. Firms in a market advertise their products with different brand names. Some make more profit than others in the short run but all make normal profit in the long run.

Which market structure is this?

- A perfect competition
- B monopolistic competition
- C oligopoly
- D monopoly

COMPARISON OF MARKET STRUCTURES (MARKING SCHEME)

Question	Answer	Marks
1	Evaluate, with the aid of a diagram(s), whether excess profit (super-normal profit) is always necessary for the continued existence of firms in perfect competition and monopoly. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: • Definitions of perfect competition and monopoly. The assumptions/characteristics of perfect competition and monopoly. Understanding of the difference between the short run (SR) and the long run (LR). • The implications of the assumptions/characteristics for changes in the SR/LR • Analysis of the short-run equilibrium for both a perfectly competitive firm and a monopoly. • Illustration of the ability of firms in both forms of market structure to earn excess profits in the short run and long run. Consideration of the long-run: the change in equilibrium for a perfectly competitive firm and the lack of change in that of a monopoly. • The diagram could show the market equilibrium for both the short-run and long-run for both perfect competition and monopoly. • Reference to the diagram(s) and the outcomes illustrated should be made in the text. AO3 Evaluation • SNP are not controlled by the firm in perfect competition but a product of increased demand to which the firm reacts by equating MR to MC. The nature of SNP is transitory. • In monopoly the firm will secure long-term SNP by pursuing profit maximization $MR = MC$. SNP are long term. • The monopolist may use the SNP to realise dynamic efficiency such as investing in better production techniques. • The monopolist may not fully exploit the ability to extract SNP but may pursue alternative strategies such as sales revenue maximization. • Natural monopoly may exist and therefore SNP may not be earned. • Monopolies may not necessarily earn supernormal profits. Accept all valid responses.	20

COMPARISON OF MARKET STRUCTURES

A LEVEL

ECONOMICS P3

1.	C	7.	A	13.	B	19.	B
2.	A	8.	D	14.	B	20.	B
3.	C	9.	D	15.	D	21.	C
4.	D	10.	D	16.	C	22.	B
5.	A	11.	A	17.	D	23.	C
6.	C	12.	A	18.	A	24.	B